Premium Stabilization

A “Final Coverage Premium” rule will be introduced. Considering the significant revisions to the rating plan the changes could result in large price swings for existing customers. This premium stabilization rule will apply in order to mitigate customer rate impacts.

The premium stability caps for Idaho, by coverage apply as follows:

Bodily Injury, Property Damage, MPC, Comprehensive, Collision, UBI*, & WBI*		
Indicated Rate Change	**First Term Cap**	**Subsequent Term Cap**
< - 75%	-10%	-25%
- 75% to - 50%	- 7%	-20%
- 50% to - 25%	- 5%	-15%
- 25% to - 15%	- 5%	-10%
- 15% to - 10%	- 5%	- 7%
- 10% to 0%	- 5%	- 5%
0% to + 10%	+ 5%	+ 5%
+ 10% to + 15%	+ 5%	+ 7%
+ 15% to + 25%	+ 5%	+10%
+ 25% to + 50%	+ 5%	+15%
+ 50% to + 75%	+ 7%	+20%
> + 75%	+10%	+25%

**Note: Uninsured and Underinsured Motorist Bodily Injury First Term Cap is 0%, subsequent terms use the table above.*

All Other Coverages	First Term Cap	Subsequent Term Cap
Emergency Road Service	+/-20%	+/-50%
Rental Reimbursement	+/-20%	+/-50%
Death, Dismemberment, Loss of Sight	Unlimited	Unlimited
Loss of Earnings	Unlimited	Unlimited

In general, stabilization will apply where State Farm has changed the rate, factor or model for existing customers. Items not stabilized include customer selections (e.g. deductible, limits), characteristics that age over time (e.g. driver age), or adding/removing claims and discounts.

The prior term premium will be adjusted to reflect characteristics not subject to stabilization. Next, a rate stability factor is then applied to the premium to move toward the indicated ultimate premium level. This calculation is done separately for each coverage and vehicle.

For all transactions that are effective mid-term, other than those in which a vehicle is moving from the 9812B policy to the 9812C policy, the rate stability factor is 0%.

Refer to the rate manual for additional details.

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